Weekly Ship Recycling Report

2 September - 9 September 2022

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Highlights of the Week

Global economy is being confronted with successive shocks at every step with convergence of energy crisis, inflation, recurring waves of pandemic and ever-rising geopolitical issues. Every sector experiences a slowdown in demand and prices as a result of such market conditions. However, in the ship recycling market, the offer prices from recyclers have remained supported due to extreme shortage of units available for recycling. As global outlook darkens with strong signs of recession in many parts of the world, it remains to be seen whether the offer prices will remain resilient due to this prevailing shortage of units or soften as demand for steel declines!

Steel mills across the globe, particularly in Europe, have announced scheduled outages this fall and have begun to significantly reduce steel output due to high energy costs and raw material prices amid a weak steel consumption environment. This is also expected to lower the demand for coking coal and iron ore and impact their prices negatively.

Steel demand from China, which accounted for 52% of the global demand in 2021, is witnessing a decline as the economy prepares for the combined impact of the property bubble, strict zero Covid lockdowns, and a severe ongoing heatwave. China's mega city of Chengdu has extended its Covid lockdown for a second time, with no end in sight as authorities struggle to eradicate an outbreak that is continuing despite stringent restrictions that have upended businesses and daily life.

Cost-of-living crisis is already formenting social unrest in Germany, Italy and Czech Republic among many other countries of Europe. Thousands of people took to the streets in mass protests against the EU and NATO as they demanded neutrality in the war and action on energy prices.

A remarkable era spanning seven decades has come to an end with the passing of Her Majesty Queen Elizabeth II. Our thoughts and condolences are with The Royal Family and everyone around the world mourning the loss of Her Majesty.

Exchange Rates:

USD / INR

This Week	: 79.62
Previous Week	: 79.36
Lost	: 0.33 %

USD / BDT

This Week	: 94.81
Previous Week	: 95.02
Gained	: 0.22 %

USD / PKR

This Week	: 228.11
Previous Week	: 218.79
Lost	: 4.08 %

USD / TL

This Week	: 18.24
Previous Week	: 18.21
Lost	: 0.16 %

India

Steel prices continue to decline

- Offer prices from the recyclers of Alang have slightly softened this week as steel prices in the domestic market cannot be cushioned from the global downtrend. Additionally, many traders continue to opt for cheaper Russian steel over Indian-finished steel.

- India has proposed to impose retaliatory customs duties under the WTO norms on about USD 250 million worth of goods imported from the UK if no agreement is reached on compensation in a case concerning the imposition of restrictions by Britain on steel products.

- As monsoon season recedes from India, the construction season is likely to commence soon, thereby bringing a relief to the domestic steel sector. Prices of rebar are not likely to correct further as inventory depletion is already allowing for need-based buying.

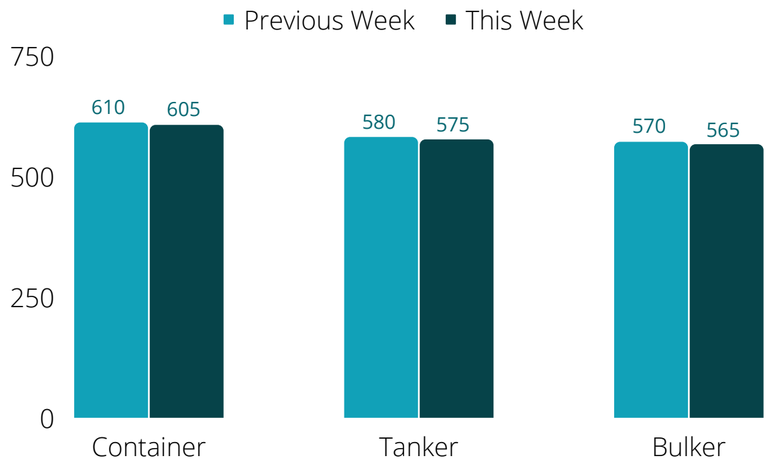
Beaching Dates

7 September to 15 September 2022

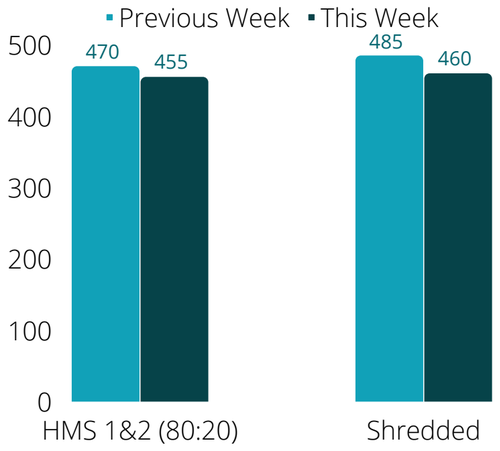
24 September to 2 October 2022

7 October to 15 October 2022

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Offer prices remain stable

- Recyclers from Chattogram are looking for tonnage which can be acquired under the ongoing LC restrictions as demand recovery is on the horizon with the approaching winter season.
- Major Bangladesh-based mills continued to remain passive with many running on 50% capacity while others having suspended production for few days due to slow demand from the downstream sectors.
- Steel mills remain cautious about booking fresh material owing to LC restrictions, power outages, and subdued demand for finished steel.
- The annual floods in Bangladesh have affected the purchasing power of the nation as it will be investing more funds on damage reconstruction, reducing GDP and foreign reserves.

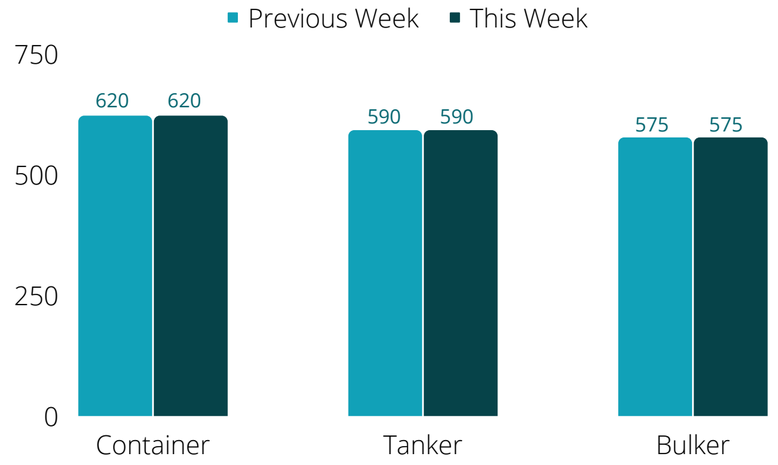
Beaching Dates

9 September to 12 September 2022

25 September to 28 September 2022

8 October to 11 October 2022

Price for Recycling Ships in Bangladesh



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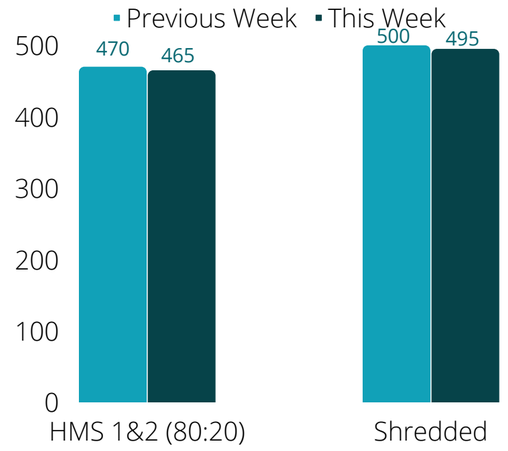


Pakistan

PKR continues its downtrend

- The end buyers from Gadani are looking for small to medium-sized vessels as many yards are currently vacant, and the domestic demand is likely to improve during the winter months, which are expected to be a favorable period for the construction activities.

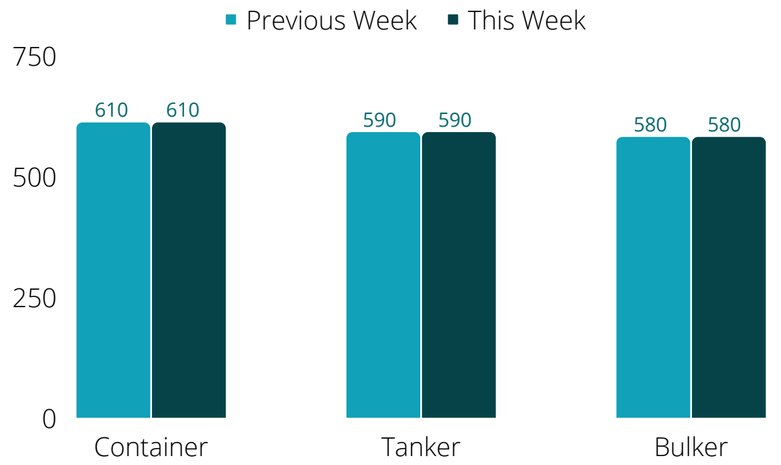
- The market remains quiet this week as well, with few mills either suspending their operations or curtailing production owing to sluggish demand for finished steel products due to heavy rainfall and flood situations across the nation. Additionally, the piling up of finished steel inventory is creating liquidity issues in the absence of demand. Hence, many mills have lowered their offer prices in an effort to break even.

- The Pakistani rupee persisted its losing streak against the US dollar throughout the week as the country continues to suffer an economic hit caused by heavy floods. There's a significant increase in import of food items as the floods have damaged the country's crops and plantations, thereby adding to the dollar's demand and straining the country's trade deficit.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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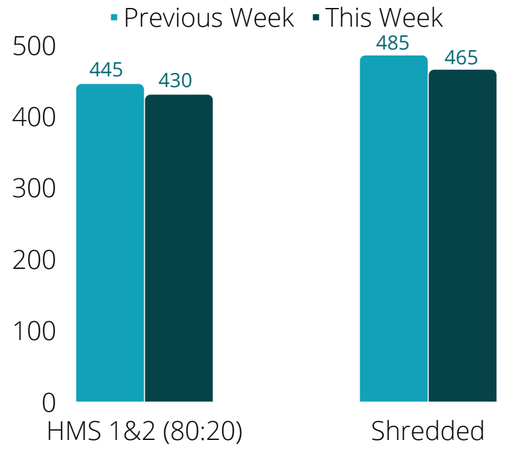


Türkiye

Russian steel dumping mounts pressure on prices

- Turkey's steel sector is heavily affected by low-priced imports from Russia. As Russian producers cannot export their products to many countries due to sanctions, they export to Turkey at prices of upto 50% discount leading to depreciation in prices and huge losses for Turkish producers and the outlook for the fourth quarter seems much worse.

- Imported scrap prices have softened by about USD 25/MT and are likely to fall further due to prevailing negative market sentiments caused by recent increase in gas and electricity prices.

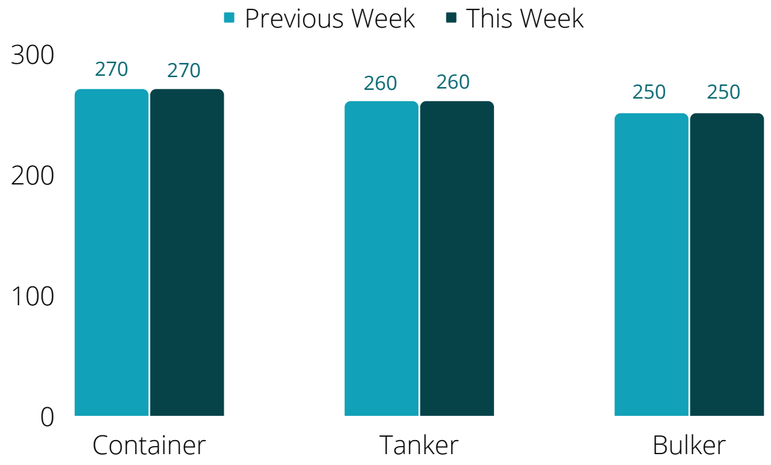
- Government has increased electricity and natural gas prices for households by around 20% and by around 50% for industry, putting further upward pressure on inflation.

- Turkey's annual inflation climbed to a fresh 24-year high of 80.21 percent in August, a bit below expectations according to official data, after the central bank unexpectedly cut interest rates and stoked a cost-of-living crisis.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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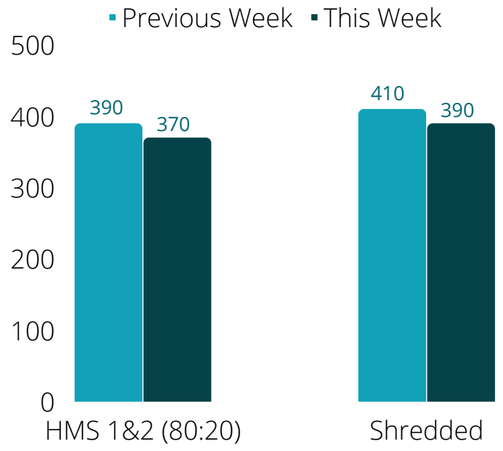
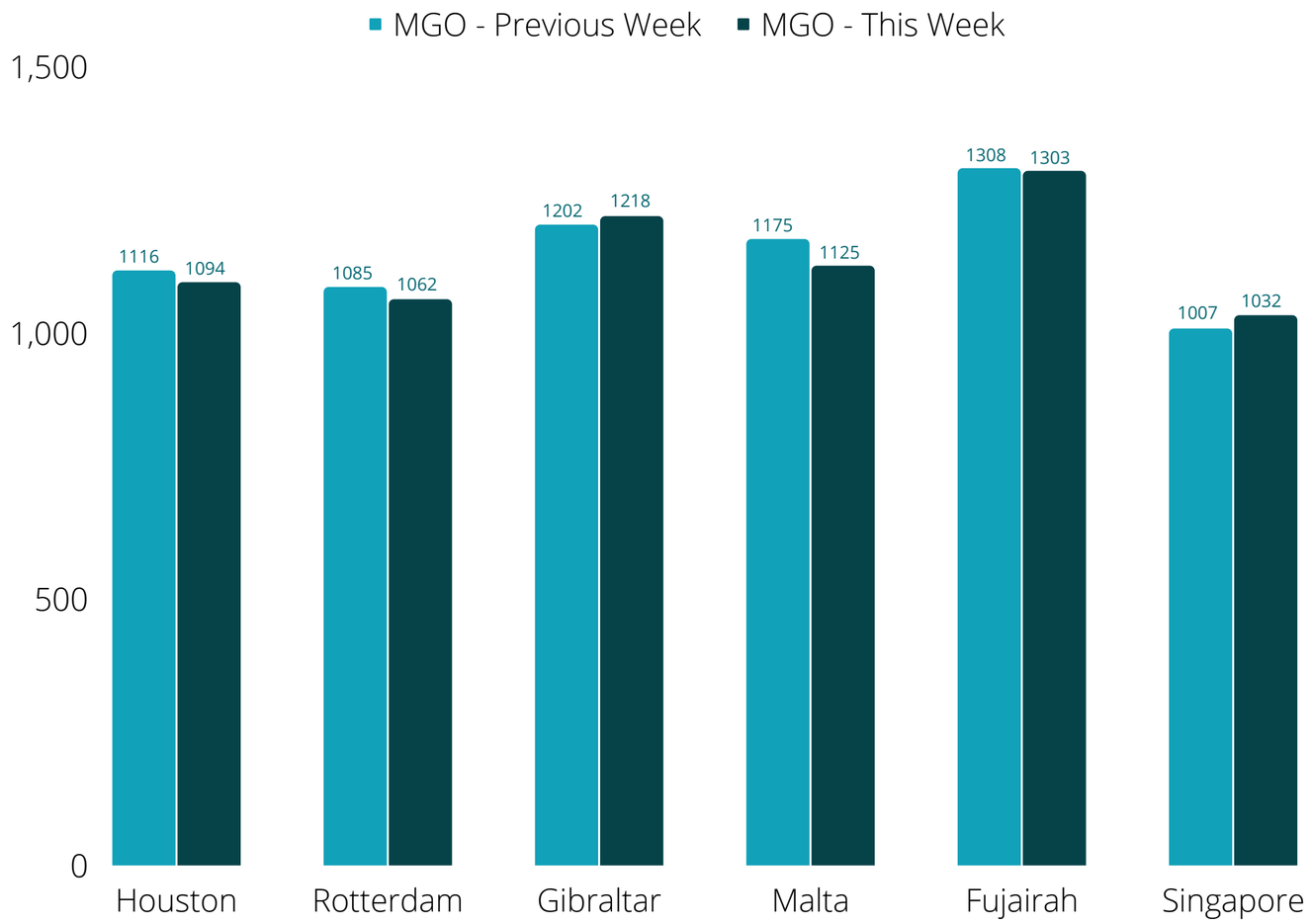


Bunker Prices at Port



Brent Crude

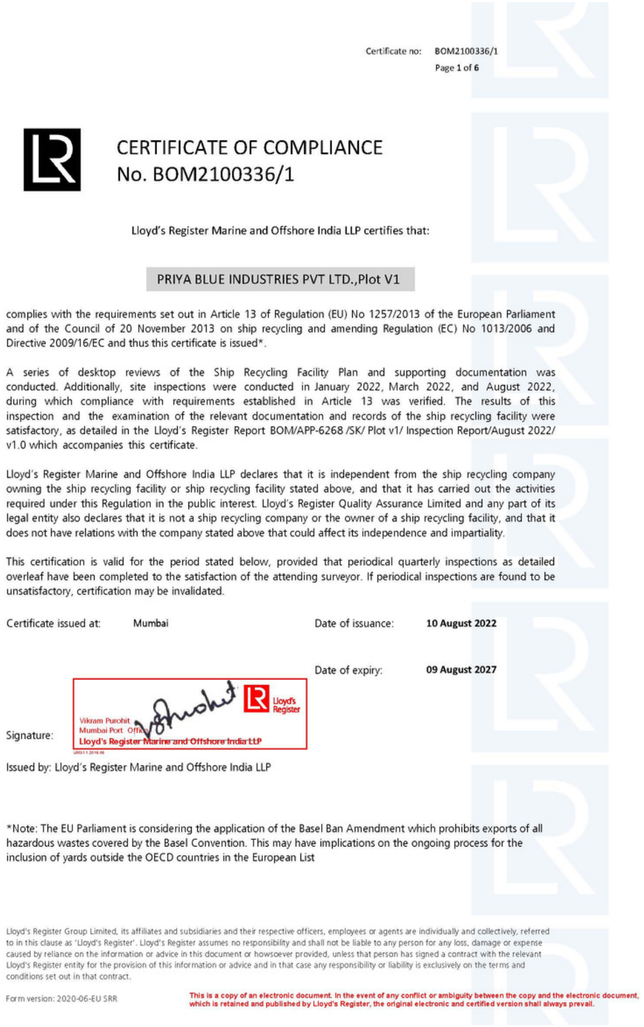
This Week	:	89.39
Previous Week	:	92.07
Movement	:	-2.91 %

WTI Crude

This Week	:	83.65
Previous Week	:	86.16
Movement	:	-2.91%

- Oil prices slumped to their eight-month low this week, with investors assessing global demand as China pushes on with its Covid Zero policy and central banks tighten monetary policy to fight inflation.

ANNOUNCEMENT



Certificate no: BOM2100336/1
Page 1 of 6

CERTIFICATE OF COMPLIANCE
No. BOM2100336/1

Lloyd's Register Marine and Offshore India LLP certifies that:

PRIYA BLUE INDUSTRIES PVT LTD.,Plot V1

complies with the requirements set out in Article 13 of Regulation (EU) No 1257/2013 of the European Parliament and of the Council of 20 November 2013 on ship recycling and amending Regulation (EC) No 1013/2006 and Directive 2009/16/EC and thus this certificate is issued*.

A series of desktop reviews of the Ship Recycling Facility Plan and supporting documentation was conducted. Additionally, site inspections were conducted in January 2022, March 2022, and August 2022, during which compliance with requirements established in Article 13 was verified. The results of this inspection and the examination of the relevant documentation and records of the ship recycling facility were satisfactory, as detailed in the Lloyd's Register Report BOM/APP-6268 /SK/ Plot v1/ Inspection Report/August 2022/ v1.0 which accompanies this certificate.

Lloyd's Register Marine and Offshore India LLP declares that it is independent from the ship recycling company owning the ship recycling facility or ship recycling facility stated above, and that it has carried out the activities required under this Regulation in the public interest. Lloyd's Register Quality Assurance Limited and any part of its legal entity also declares that it is not a ship recycling company or the owner of a ship recycling facility, and that it does not have relations with the company stated above that could affect its independence and impartiality.

This certification is valid for the period stated below, provided that periodical quarterly inspections as detailed overleaf have been completed to the satisfaction of the attending surveyor. If periodical inspections are found to be unsatisfactory, certification may be invalidated.

Certificate issued at: Mumbai

Date of issuance: **10 August 2022**

Date of expiry: **09 August 2027**

Signature:

Vikram Purohit
Mumbai Port Office
Lloyd's Register Marine and Offshore India LLP

Issued by: Lloyd's Register Marine and Offshore India LLP

*Note: The EU Parliament is considering the application of the Basel Ban Amendment which prohibits exports of all hazardous wastes covered by the Basel Convention. This may have implications on the ongoing process for the inclusion of yards outside the OECD countries in the European List

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Form version: 2020-06-EU SRR

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We are delighted to announce that Priya Blue Industries Pvt. Ltd., Plot V1, has been accorded Certificate of Compliance with the EU SRR from Lloyd's Register.

This recognition is a testament to the unwavering commitment of our whole team at Alang which ensures compliance towards sustainable green ship recycling with utmost level of precision and responsibility.

We take this opportunity to thank all the people involved in this journey for placing their trust on us and pledge to uphold this commitment in all years to come!

List of Vessels Sold this Week

Vessel Name	Type of Vessel	IMO No.	Year of Build	Country of Build	LDT	Term of Sale	Location of Delivery	Sale Price/LDT (USD)
CHANG SHENG	BULKER	9178408	1998	JAPAN	9,824.00	AS-IS	SINGAPORE	595.00
POLAN	TANKER	9176761	1999	S. KOREA	12,423.20	AS-IS	SINGAPORE	589.00
WINNING INTEGRITY	BULKER	9218868	2000	JAPAN	21,216.00	AS-IS	SINGAPORE	602.50

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